and major plants should be separated from passenger tracks and be merged with the Dedicated Freight Corridor Corporation, which as a company already exists. The passenger business should also be organized into one holding company with an appropriate number of subsidiaries. Finally, the rest of the business should be brought under one holding company.

The reorganized four holding companies should be entrusted to four different professional boards. Existing railway staff should be asked to choose to go to any of the four companies or their subsidiaries. The government can grant them pensionary benefits for services rendered until the date of transfer, which can be paid from existing budgets/funds. The services in the new companies should be organized on the basis of a defined benefit system with the staff and the companies contributing 10 per cent of salary in the new pension account. The current structure of the Railway Board needs to be revamped and below board formations should be disbanded. The holding companies may take up a privatization programme to sell appropriate subsidiaries, concession infrastructure facilities to be constructed and/or operated and take the subsidiaries to list and raise capital from the market. The government should not be expected to provide any capital support from the Budget. It should also do away with all passenger and freight subsidization programmes. However, if it wishes to continue some of these, it should create arrangements to pay the support directly to intended beneficiaries rather than distorting railway operations and commercial arrangements.

Fifth, the state roadways corporations have outlived their utility. Likewise, the system of notifying nationalized routes for state carriage purposes has no relevance any more.

The government should repeal the State Road Transport Act completely and allow Central government equity in state roadways corporations to be written down to zero. Thereafter, states should simply sell the state roadways corporations in the appropriate number of subsidiaries. Roadway